

UPS acquisition of GXO Logistics

Investment memo | Base case | 16 September 2026

Recommendation: Conditional proceed. The transaction has credible strategic logic and becomes 2.0% EPS accretive by FY2028, but the base case remains below the illustrative 7.5% WACC through the forecast. Advance only if diligence supports at least \$265m of run-rate cost synergies, financing remains close to the modeled cost, and the integration plan protects deleveraging.

Transaction overview

Buyer	United Parcel Service, Inc. (NYSE: UPS)	Target	GXO Logistics, Inc. (NYSE: GXO)
Offer price	\$68.97 per share	Premium	30.0%
Equity value	\$8,070.7m	Enterprise value	\$10,281.7m
Consideration	100% cash	Assumed close	30 June 2026
Offer EV / LTM EBITDA	11.7x	Offer EV / FY2026E EBITDA	10.8x
Run-rate cost synergies	\$265.0m	New acquisition debt	\$8,509.1m

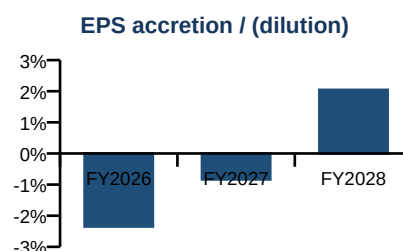
Transaction rationale

GXO adds a scaled contract-logistics platform across warehousing, fulfilment and supply-chain technology. The combination would broaden UPS beyond core parcel delivery, deepen customer relationships and create opportunities to consolidate procurement, network and corporate costs. The strategic case is strongest where the two networks overlap without disrupting GXO's customer service model.

The valuation is not inexpensive. A 30% headline premium lifts the offer multiple to 11.7x LTM adjusted EBITDA from 9.4x on an unaffected basis. The price therefore depends on achieving the operating plan and the synergy ramp, rather than on a standalone valuation case alone.

Earnings profile

Metric	FY2026E	FY2027E	FY2028E
Pro forma EPS	\$6.74	\$7.27	\$7.97
EPS accretion / (dilution)	(2.3%)	(0.8%)	2.0%
Pre-tax synergies realized	\$47.0m	\$198.8m	\$265.0m
Breakeven pre-tax synergies	\$224.8m	\$265.4m	\$91.6m



The FY2026 result includes approximately 50.7% ownership following the assumed 30 June close. Earnings turn accretive only after synergies reach full run-rate and integration costs decline.

Valuation, financing and earnings mechanics

Price support depends on synergy execution and disciplined deleveraging

Valuation and consideration

Metric	Unaffected / standalone	Offer / transaction	Change
Share price	\$53.05	\$68.97	30.0% premium
Enterprise value	\$8,285.9m	\$10,281.7m	24.1% uplift
EV / LTM revenue	0.6x	0.8x	0.2x
EV / LTM adjusted EBITDA	9.4x	11.7x	2.3x
EV / FY2026E adjusted EBITDA	8.7x	10.8x	2.1x

The transaction uses no UPS shares, leaving legacy UPS shareholders with 100% of the pro forma equity. Purchase accounting creates \$3,098.1m of goodwill and \$193.5m of after-tax purchase-accounting expense in FY2026 before partial-year weighting in the pro forma result.

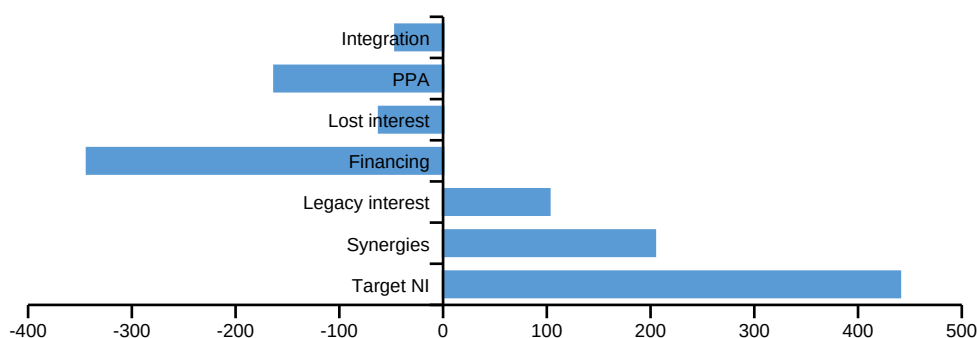
Financing structure and balance-sheet impact

Source	Amount	Share of total sources	Metric	FY2026E	FY2027E	FY2028E
UPS cash	\$2,000.0m	17.6%	Gross leverage	2.4x	2.3x	2.1x
GXO cash acquired	\$854.0m	7.5%	Net leverage	2.1x	2.0x	1.8x
New acquisition debt	\$8,509.1m	74.9%	Interest coverage	9.0x	9.6x	10.3x
Stock consideration	\$0.0m	0.0%	Acquisition debt	\$8,082.0m	\$7,553.4m	\$6,924.6m
Total sources / uses	\$11,363.1m	100.0%				

The model assumes a 5.75% headline debt rate, 5% annual mandatory amortisation and a 50% cash sweep. Acquisition debt falls by roughly \$1.6bn by FY2028. The balance sheet remains manageable in the base case, but the all-cash structure concentrates risk in financing cost and post-close cash generation.

Sources of accretion and dilution

FY2028 transaction earnings bridge (USD millions)



By FY2028, GXO standalone earnings, cost synergies and the legacy-interest add-back contribute approximately \$746.8m after tax. Acquisition financing, lost interest income, purchase-accounting expense and integration costs offset about \$613.2m, leaving a \$133.5m net transaction earnings contribution and 2.0% EPS accretion.

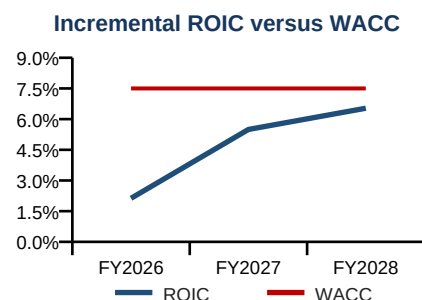
The \$265m synergy target phases in at 35%, 75% and 100%. FY2026 recognized synergies are further reduced by the partial-year ownership convention. Total integration costs equal 1.5x run-rate synergies, or \$397.5m, allocated 50%, 35% and 15% across FY2026-FY2028.

Returns, sensitivities and recommendation

Economic value creation remains the central decision constraint

ROIC versus WACC

Metric	FY2026E	FY2027E	FY2028E
Incremental ROIC	2.1%	5.5%	6.5%
Illustrative UPS WACC	7.5%	7.5%	7.5%
ROIC less WACC	(5.4%)	(2.0%)	(1.0%)



Positive EPS accretion does not by itself establish value creation. The base case remains below the buyer's illustrative cost of capital through FY2028, so the investment case requires either additional durable synergies, a lower effective purchase price, faster deleveraging or returns beyond the explicit forecast period.

Key sensitivities

FY2027 EPS accretion / (dilution) by pre-tax run-rate synergies and offer premium

Synergies / premium	20%	25%	30%	35%	40%
\$150m	(1.3%)	(1.6%)	(1.9%)	(2.2%)	(2.6%)
\$200m	(0.8%)	(1.1%)	(1.4%)	(1.8%)	(2.1%)
\$265m	(0.2%)	(0.5%)	(0.8%)	(1.2%)	(1.5%)
\$300m	0.1%	(0.2%)	(0.5%)	(0.8%)	(1.2%)
\$350m	0.6%	0.3%	(0.0%)	(0.4%)	(0.7%)

The base case at a 30% premium and \$265m of run-rate synergies is 0.8% dilutive in FY2027. At the same premium, FY2027 becomes approximately neutral only near \$350m of synergies. The separate scenario analysis produces FY2027 EPS accretion of (5.2%) in the downside, (0.8%) in the base case and 2.4% in the upside.

Key risks

- **Synergy execution:** Delays or leakage extend EPS dilution and reduce cash available for debt repayment.
- **Financing:** Higher interest rates increase dilution because debt provides nearly 75% of transaction funding.
- **Integration:** Operational disruption, technology complexity and customer churn could weaken GXO growth and margins.
- **Valuation:** The 30% premium and 11.7x LTM EBITDA multiple leave limited room for execution shortfalls.
- **Economic return:** Base-case ROIC does not exceed WACC within the explicit forecast horizon.

Final recommendation

Proceed only on a conditional basis. The acquisition improves UPS's strategic position in contract logistics and can become EPS accretive as synergies mature. However, the current base case does not demonstrate economic value creation by FY2028. Approval should require: (1) validated, owner-assigned synergies of at least \$265m with contingency toward \$350m; (2) financing protection around the modeled rate; (3) a customer-retention and systems-integration plan; and (4) a deleveraging path that preserves investment-grade flexibility. If diligence cannot support those conditions, UPS should seek a lower price or walk away.

Sources: UPS 2025 Form 10-K - <https://www.sec.gov/Archives/edgar/data/1090727/000162828026008432/ups-20251231.htm>; GXO 2025 Form 10-K - <https://www.sec.gov/Archives/edgar/data/1852244/000185224426000007/gxo-20251231.htm>; UPS FY2025 results - <https://investors.ups.com/news-events/press-releases/detail/2154/ups-releases-4q-2025-earnings-and-provides-2026-guidance>; GXO FY2025 results - <https://investors.gxo.com/news-releases/news-release-details/gxo-reports-fourth-quarter-and-full-year-2025-results>. Transaction terms, forecasts, purchase accounting, synergies and recommendation are independent modeling judgments for a hypothetical transaction and are not company guidance.